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ECONOMIC IMPACT



The policy is expected to boost production as well as sale of new vehicles



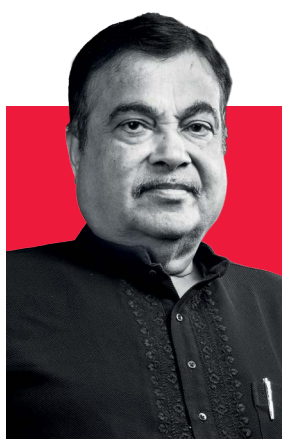
This is expected to boost employment as demand for new vehicles increases



By scrapping old vehicles, auto components such as metal can be extracted and reused, eliminating the need to mine these resources



For consumers, scrapping would mean less maintenance cost, and saving on taxes



NITIN GADKARI

MINISTER, ROAD
TRANSPORT AND
HIGHWAYS, AT THE SIAM
CONVENTION

“They might like it or not like it, but automakers will have to increase the discount [offered for scrapping vehicles] amidst rising competition. If they are offering product discounts at a good and reasonable rate, their turnover will be good”

that are more than 10 years old and petrol vehicles that are 15 years old. Personal vehicles older than 20 years and commercial vehicles older than 15 years are required to be phased out if deemed unfit as well.

The eligibility to phase out old vehicles depends on an inspection at an automated testing station (ATS) or fitness centre. If the vehicle is deemed fit after the inspection, the owners will receive a health certificate for another five years. Otherwise, it must make its way to the scrapyard.

Under the policy—launched with an investment of ₹10,000 crore and with the aim to create 35,000 jobs—owners are to be paid around 5% of the vehicle’s ex-showroom price for scrapping old vehicles.